

SENATE BILL 2560

By Reeves

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 60 and Title 68, relative to the "Tennessee
Energy Freedom Act."

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Tennessee Energy Freedom Act."

SECTION 2. Tennessee Code Annotated, Title 68, is amended by adding the following as a new chapter:

68-206-101. Definitions.

As used in this chapter, unless the context otherwise requires:

(1) "Annual emissions baseline" means the highest total carbon dioxide emissions in the People's Republic of China and India combined for at least one (1) calendar year or twelve-month period in the preceding five (5) years, with the computation to be based on generally available data regarding actual or estimated country-level emissions;

(2)

(A) "Company" means a corporation, limited liability company, partnership, trust, estate, or other entity formed under the laws of this state, another state or the District of Columbia, the federal government, or another country, and includes the direct and indirect subsidiaries the company owns; and

(B) "Company" includes an organization, association, or joint venture, either incorporated or unincorporated;

(3) "Covered activities" means:

(A) The exploration, production, transportation, sale, manufacturing, refining, combustion, or other use of coal, oil, and natural gas in this state by a person; and

(B) Statements or omissions in this state relating to covered emissions;

(4) "Covered emissions" means the emission of carbon dioxide, methane, or nitrous oxide into the atmosphere resulting, directly or indirectly, from the exploration, production, transportation, sale, manufacturing, refining, combustion, or other use of coal, oil, and natural gas;

(5) "Covered government" means another state, a government agency of another state, or a local government in this state or another state;

(6) "In-jurisdiction products" means:

(A) For a covered government, only the specific fossil fuel products that were actually shipped, or incorporated into products that were actually shipped, into the territorial boundaries of the state where the covered government is located; and

(B) For a private party, only the specific fossil fuel products that were actually shipped, or incorporated into products that were actually shipped, into the territorial boundaries of the state in which the private party resided at the time of the events at issue;

(7) "Liability" means any legally enforceable obligation to pay money or another thing of value, including, but not limited to, monetary damages, fines, penalties, disgorgement, restitution, remediation or abatement costs, equitable

relief that requires the expenditure of money, attorneys' fees, taxes, excises, levies, imposts, duties, or surcharges; and

(8) "Person" means a natural person, company, government, or governmental subdivision or agency.

68-206-102. Right to engage in activities related to coal, oil, and natural gas.

(a) The purpose of this chapter is to protect the substantive right to engage in covered activities and to prevent discrimination against the exercise of such right. Courts and covered governments that fail to give full faith and credit to this chapter, or to records or judicial proceedings pursuant to this chapter, violate protections in the constitution of the United States and federal law, engage in unlawful discrimination, and inflict sovereign injury on this state and its citizens. It is the intent of the general assembly that this chapter applies retroactively and extraterritorially.

(b) It is the public policy of this state that persons have the right to engage in and invest in companies that engage in covered activities. No injunctive relief may be granted and no liability may be assigned for covered emissions resulting directly or indirectly from covered activities, occurring at any time, unless such covered activities are proven to be in violation of the federal Clean Air Act, 42 U.S.C. § 7401 et seq., as amended, another federal environmental law, or a state law provision necessary to comply with a federal environmental law, in which case liability and remedies shall be determined based solely on federal law.

(c) Except where required by federal law, no covered government or private party may bring an action in any forum, or otherwise to impose or seek to impose any liability in connection with, covered emissions from covered activities, unless the liability is calculated and based solely on in-jurisdiction products. This chapter does not

authorize a person to bring an action or make a claim against another person where the person is not otherwise authorized to do so.

(d) A natural person or company who is aggrieved by a violation of this chapter and the attorney general and reporter may each commence an action, intervene, or otherwise assert a claim for declaratory and injunctive relief, nominal damages, and any other appropriate relief.

68-206-103. Process for determining the amount of covered emissions.

(a) A natural person or company required by a law to file reports with this state or a covered government may seek declaratory relief to conclusively determine and establish a definitive record of the person's covered emissions in this state from one (1) or more of the following:

(1) All direct emissions that stem from sources the natural person or company owns or directly controls, regardless of location, including, but not limited to, fuel combustion activities;

(2) All indirect emissions from consumed electricity, steam, heating, or cooling purchased or acquired by the natural person or company, regardless of location; and

(3) All indirect upstream and downstream emissions, other than those emissions described in subdivision (a)(2), from sources that the natural person or company does not own or directly control and may include, but are not limited to, purchased goods and services, travel, and processing and use of sold products.

(b) In determining the amount of emissions for an identified time period under subsection (a), the court shall, at the election of the natural person or company whose emissions are being determined, apply the formula set forth in subsection (e) or accept a calculation offered by the person that is supported by substantial evidence. If the

calculation has been verified by a third-party independent verifier, an independent third-party assurance provider, or both, the court's declaration shall so find.

(c) In an action under subsection (a), the department of environment and conservation shall be named as the defendant, and after being served, the department shall publish notice of the action on its website, which constitutes service by publication to all interested parties. The court shall advance and hear the action as expeditiously as possible and render its decision no later than sixty (60) days after the action is commenced. The court shall not award costs or fees to any party. Only the natural person or company who seeks a declaration under subsection (a) may appeal a determination made in an action under subsection (a).

(d) A declaration under this section is a permanent and definitive record of a natural person or company's emissions over a given time period, and it is final and valid for all purposes and as to all persons, except in those instances where the federal Clean Air Act, 42 U.S.C. § 7401 et seq., as amended, another federal environmental law, or a state law that is necessary to comply with a federal environmental law, requires reporting using a different methodology, in which case a declaration under this subsection (d) is final and valid for all other purposes.

(e) To ensure a uniform calculation process for emissions in this state, a natural person or company may elect to defer to a court-determined calculation of its emissions in an action brought under subsection (a). If such election is made, the irrebuttable presumption to be applied is that covered emissions in this state for each of the categories in subsection (a) is zero (0) kilograms of carbon dioxide equivalent over an identified time period if the natural person or company provides a declaration that, based on a reasonable inquiry, its covered emissions for that time period are less than ten

percent (10%) of the annual emissions baseline times the number of years, including fractions of a year, equal to the length of the identified time period.

(f) A natural person or company that is subject to a disclosure requirement and the attorney general and reporter may each enforce this section by commencing an action, intervening, or otherwise asserting a claim against any state or local government, or officer thereof, that fails or refuses to give full faith and credit to a record made and judgment obtained under this section, and such person or company may obtain declaratory and injunctive relief, nominal damages, and any other appropriate relief.

SECTION 3. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 5. This act takes effect July 1, 2026, the public welfare requiring it.